effects of introducing contracts in a world where everything else works, a better approach might be to investigate the effects of introducing a legitimate contract in a world where nothing works. Our analysis would be better informed by assuming anarchy as a starting point rather than a pristine world of complete contracts!

I am not suggesting that policy makers do actually analyse problems with a complete markets model in mind. They do, of course, make adjustments for the world they confront. But their world view is naturally influenced by the frameworks they were taught. And because those frameworks assume so much that is unrealistic, how confident can policy makers be in their recommendations?

Nor am I arguing for undisciplined economic thinking, for an 'anything-goes' school of theory. Economics has come a long way in the past half century, and much that we have learnt is of great relevance. Respectable economists such as Oliver Hart and Jack Hirshleifer have escaped the straitjacket of the complete markets model without sacrificing sensible economics. But a sizeable group of economists still thinks there is only one model, and complete markets is its name. One cannot but help suspect that elegance rather than relevance is its appeal.

Institution building is one area where international financial institutions and policy makers have learned from experience and used common sense to devise practical approaches, without much guidance from academia. And there is hope, supported by a growing body of research work, that more students of development are realizing that a better starting point for analysis than a world with only minor blemishes may be a world where nothing is enforceable, where property and individual rights are totally insecure, and the enforcement apparatus for every contract must be derived from first principles – the world that Hobbes so vividly depicted. Not only will